PRIORITY 11 OF 33 · SCORE 3.3

Commerce

Commerce is a small spender today with two very large programs now paying out: NTIA's $42.45B Broadband Equity, Access and Deployment (BEAD) program, passed through states to internet providers, and the CHIPS manufacturing incentives. Big new money to new or re-formed recipients is the classic setup for fraud, and both programs publish recipient-level data. This is a chance to screen before the money is spent, not after.

INVESTIGATIONS WE PROPOSE

- **DOC-1** BEAD-funded locations already shown as served. **First prototype.**
- **DOC-2** Subgrantees with USF enforcement history or no network history.
- **DOC-3** Cost per location outliers. Framed as prevention before money goes out.

EXPOSURE

- $20B in outlays but $52B in budgetary resources in FY2026, reflecting BEAD and CHIPS money not yet spent.
- Broadband subsidy fraud has precedent in the FCC's E-Rate and rural programs (see FCC): inflated costs, coverage claims that do not match service, and bid rigging.

PUBLIC DATA WE USE

- **State BEAD subgrantee selections** (published by each state) and NTIA approvals.
- **FCC National Broadband Map:** provider-reported coverage by location.
- **USAspending** for CHIPS, EDA and NIST awards.
- **SAM.gov** and the FCC's USF data for provider histories.

HOW WE DETECT IT

1. **Coverage claims vs. reality:** BEAD-funded locations already shown as served on the FCC map, or providers claiming coverage they cannot show.
2. **Provider history:** BEAD winners with prior USF enforcement, new entities with no network history, or shared owners across bidders.
3. **Cost outliers:** cost per location far above peers in similar terrain.

SCORECARD

Fraud savings identified
● Pending

Phase 1 window
Weeks 9–11
Jan 11, 2027 to Jan 29, 2027

Workstream
Contained pilots

FY2026 outlays
$20.0B · budget rank 20

Leads go to
NTIA, Commerce OIG, state broadband offices

WHY PRIORITY 11

Exposure	●●●○○
Public data	●●●●○
SBA method fit	●●●●○
Actionability	●●○○○

FIRST PROTOTYPE

A BEAD subgrantee screen for two or three states that have published awards, joining FCC map and USF history.

OUR REVIEW, DELIVERED WEEK 11

BEAD subgrantee screen and review memo. Framed as pre-spending prevention.

Every lead goes to an Inspector General or DOJ as a referral package with sources and caveats. Nothing is published.

WHAT WE ASK OF COMMERCE

Phase 2 data: BEAD build-out verification, CHIPS milestone reports.

What it enables: Claimed coverage versus delivered.

Access route: NTIA; Commerce OIG.

LIMITS

State award data formats vary; build-out verification needs field data.

SOURCES

- NTIA BEAD program
- FCC National Broadband Map
- USAspending agency profiles (FY2026 outlays)

Scores and plans are our judgment from public sources. Risk indicators are leads for Inspectors General or DOJ, not accusations.

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